

NORTHBAY LIVING • DEMAND & INVENTORY

Project FORESIGHT

Stop guessing what to reorder.

An 8-week demand forecast and stock early-warning system
built from your own sales and inventory data.

Prepared for the Head of Operations and Finance • Zidio Development

You are losing money in two directions at once

The same planning gap causes both problems.



Best-sellers run out

Demand you can never recover. The customer buys elsewhere and may not come back.

13 SKUs are projected to run short within their replenishment lead time.

₹1.02 Cr

of sales at risk right now



Slow movers pile up

Cash locked in stock that eventually gets marked down, eroding margin twice.

18 SKUs hold more than 12 weeks of cover — the median is 24 weeks.

₹1.08 Cr

of working capital tied up

Together: ₹2.1 Cr of value in play across 31 of your 200 SKUs.

What you now have

Four pieces, each one usable without a data scientist.

1

A demand forecast

Expected units per SKU per week, eight weeks out, with a confidence range — not a single number pretending to be certain.

2

A stockout early-warning

Compares the forecast over your actual lead time against stock on hand and on order. Flags what will run short before it does.

3

An overstock flag

Identifies stock covering far more weeks than you will sell, with the rupee value locked up in it.

4

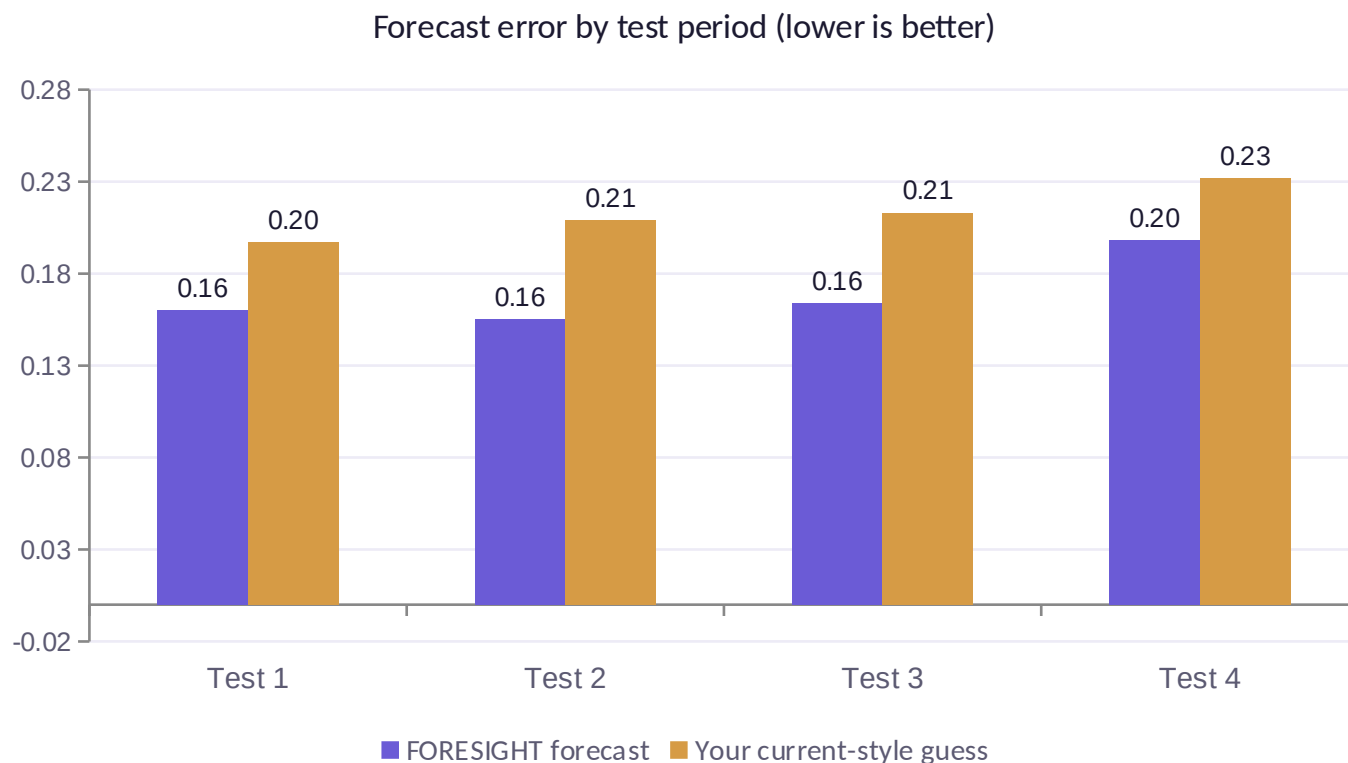
A planning dashboard

Filter by category, see the prioritised reorder and markdown lists, and export them. Live on a web link.

Everything rebuilds from your raw extracts with one command, so you can refresh it next month without us.

Is the forecast actually any good?

Tested the hard way: trained only on the past, then scored on weeks it had never seen.



20%

More accurate than the naive approach

Wins in all four test periods, not just on average.

What this means in plain terms

For every 100 units you actually sell, the forecast is off by about 17 — against 21 for a same-week-last-year guess.

Accuracy is best in week 1 and degrades gradually to week 8. Trust the near weeks more.

Three things your data already told us

Findings that change how planning effort should be spent.

60%

of revenue comes from the top 20% of SKUs

And the top 10 products carry 64% of all the value at risk. Planning attention should follow that curve, not be spread evenly across 200 products.

2.7×

difference between peak and quiet weeks

Seasonality is strong and predictable. A flat reorder rule over-orders in the quiet season and under-orders straight into the peak.

+80%

demand lift during promotion weeks

Promotions nearly double units sold. Any plan that ignores the promo calendar will under-order ahead of every campaign you run.

Where the money is

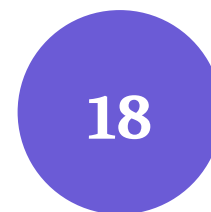
Every SKU sorted into one of four actions.



Reorder now

Raise a replenishment order before stock runs out

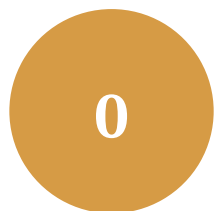
₹1.02 Cr at risk



Markdown / clear

Promote or discount to release working capital

₹1.08 Cr locked



Watch / volatile

Erratic demand — review manually before ordering

No SKUs this cycle



Healthy

Stock position is appropriate — no action needed

Leave alone

Only 31 of 200 SKUs need a decision this cycle — that is the point. The system tells you where not to look.

What to do this week

The six SKUs carrying the most value. Work down from the top.

SKU	Category	Action	Why	Value at stake
SKU0128	Kitchen	Reorder now	Selling ~259/wk with only 1 week of cover left	₹53.2 L
SKU0194	Decor	Markdown	2,348 units on hand — 22 weeks of cover	₹24.1 L
SKU0148	Kitchen	Reorder now	Selling ~129/wk with 1.4 weeks of cover left	₹17.3 L
SKU0174	Decor	Healthy	High value but stock position is appropriate	₹14.0 L
SKU0047	Small Appliances	Markdown	1,755 units on hand — 19 weeks of cover	₹13.4 L
SKU0008	Kitchen	Markdown	1,780 units on hand — 29 weeks of cover	₹12.7 L

Acting on the top two alone addresses ₹77 L — 36% of the total value in play.

Full prioritised list, filterable and exportable, is on the dashboard.

What this does not do

Stated plainly, so you know where judgement is still required.

-  **New products are weak spots**

SKUs with under three months of history borrow their seasonal pattern from their category. Treat those forecasts as indicative.
-  **Promotion depth is not modelled**

The system knows a promotion is running, not how deep the discount is. An unusually aggressive campaign will be under-forecast.
-  **Stock data is a weekly snapshot**

A product that moved sharply since the last snapshot can be mis-scored. The forecast is only as fresh as the stock feed.
-  **Thresholds are business choices**

The 25% safety buffer and 12-week cover limit are settings, not discoveries. They should be tuned to your service-level target.
-  **It cannot predict the unprecedented**

A supply shock or a viral product falls outside anything in the history. The confidence range will be too narrow in those conditions.

This is decision support. It narrows 200 products to roughly 30 decisions — it does not replace your planners' judgement on those 30.

Recommendations

Three steps, in order.

1

Act on the 31 flagged SKUs this week

Raise the 13 replenishment orders and put the 18 overstocked lines into the next markdown cycle. Suggested order quantities are on the dashboard.

2

Run the planning cycle weekly, not ad hoc

Refresh the pipeline every Monday against the latest sales and stock extracts. The forecast is only as good as the freshness of its inputs.

3

Track whether the flags were right

Log each flagged SKU's outcome for two months. That record is what lets you tighten the safety buffer and cover thresholds with evidence rather than instinct.

₹2.1 Cr

of value addressable from this week's action list.